

San Francisco Commercial Leakage Intelligence Report

Evidence-led transaction analysis of a repeated purchasing cluster

Executive finding: The population contains a strong repeated-purchasing signal — 42 purchase orders, 124 transaction rows and \$107,285.70 of encumbered value were recorded for the same supplier, contract, commodity, department and PO date. The evidence supports investigation prioritisation, but does **not** establish commercial leakage.

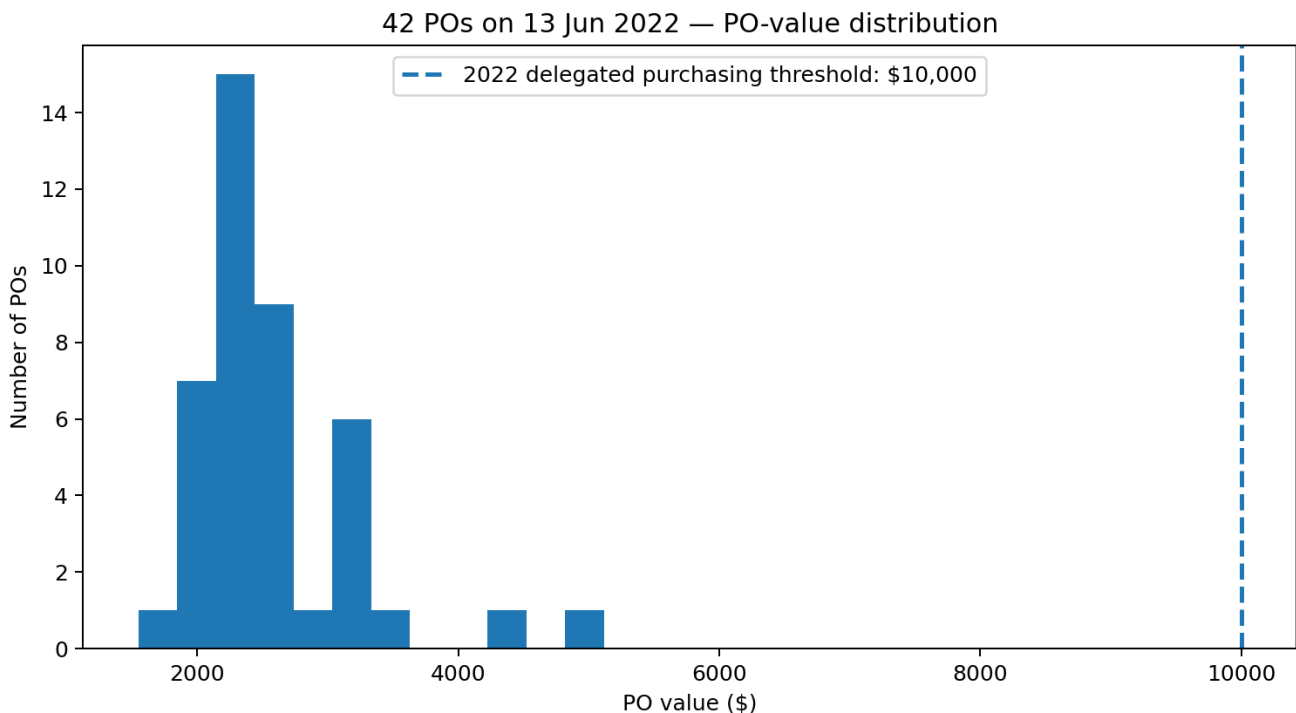
1. Study purpose

CIIP was designed to separate a transaction signal from a commercial finding. This study applies that discipline to a public procurement population and follows the chain: identity → repeated purchasing → threshold screen → price context → payment reconciliation → evidence gate.

2. Population and identity

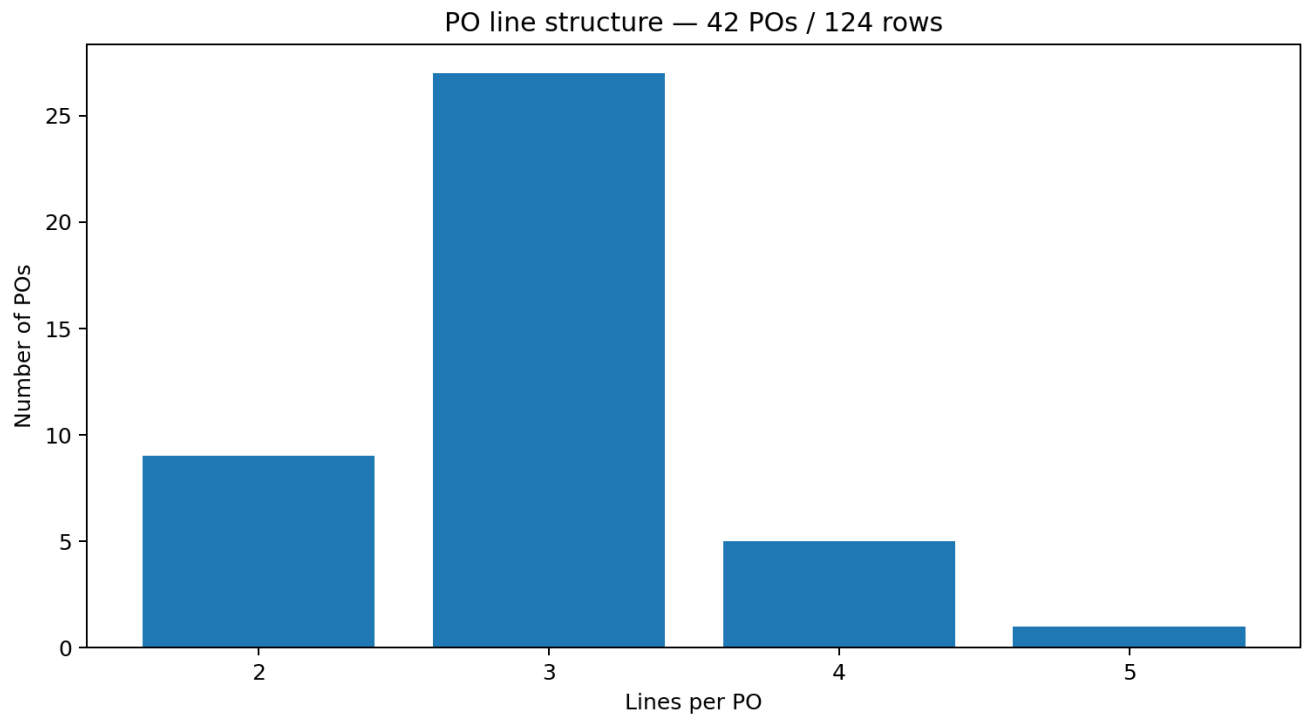
The Stage 11 population is FY2022, DPH Public Health, Golden Gate Neuromonitoring LLC, Contract 1000008139, Commodity Code 46500, PO date 13 June 2022. It contains **124 rows across 42 distinct POs**, with aggregate encumbered value of **\$107,285.70**.

3. PO fragmentation screen



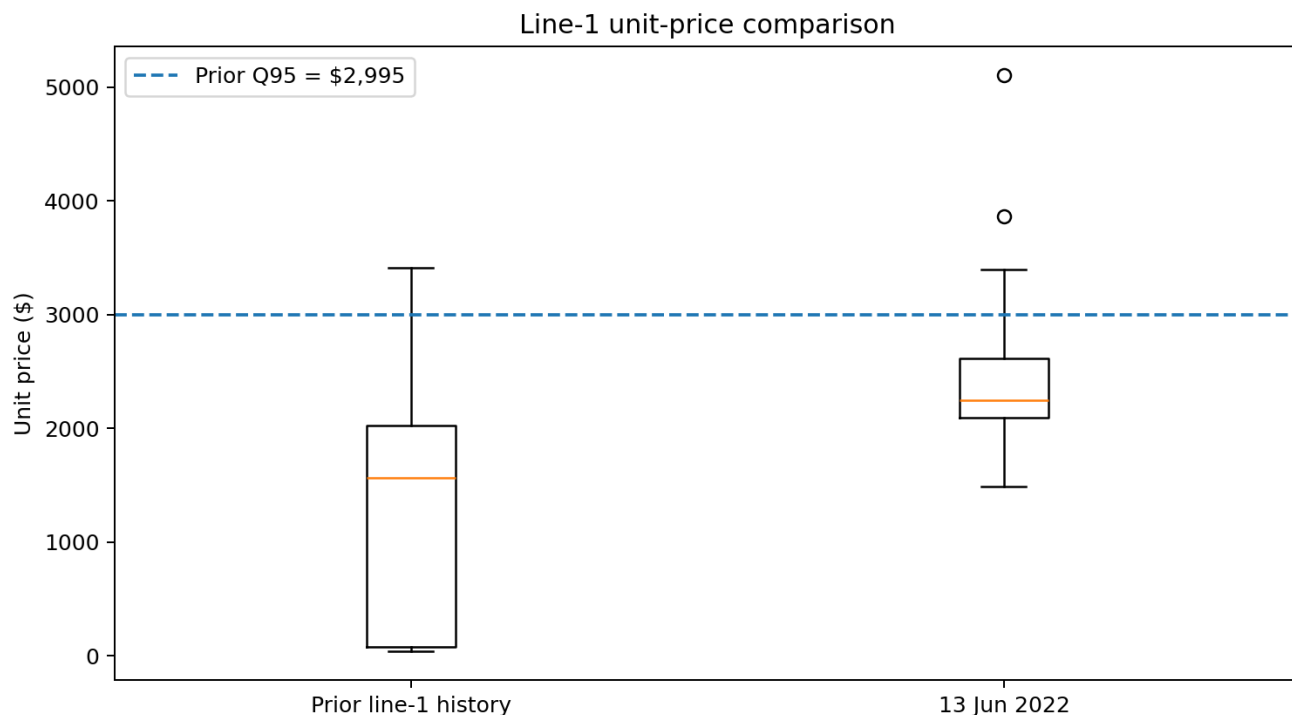
All 42 POs were individually below \$10,000; the maximum was \$5,114.88. The aggregate for the same-day cluster was \$107,285.70. San Francisco's 2022-era Chapter 21 rules allowed delegated departmental purchasing of commodities/general services up to \$10,000, while purchases above that level required Purchasing/OCA involvement; the City also prohibits dividing a proposed procurement to evade competitive-solicitation requirements. This makes the pattern investigation-worthy, but the dataset alone cannot establish that the POs were artificially split or that the threshold was evaded. ■cite■turn2search6■turn2search8■

4. PO line structure



The 42 POs contain 2–5 lines each: 9 POs have 2 lines, 27 have 3 lines, 5 have 4 lines and 1 has 5 lines. The repeated line structure is consistent with a recurring purchasing pattern. It is not, by itself, evidence of improper splitting.

5. Price-context screen



For line 1, the pre-13-June-2022 historical median unit price was \$1,559.88 and the historical Q95 was \$2,995.07. On 13 June, 7 of 42 observations exceeded that historical Q95 and 4 exceeded twice the historical median. This is a price-variance signal, not proof of overbilling: the contract's commercial terms, service mix, effective-rate changes and legitimate escalation mechanisms were not available in the transaction population.

6. Payment reconciliation

The 42 cluster POs were matched to the payment extract using the observed PO-identifier relationship. Cluster-level paid value was \$99,210.11 against \$107,285.70 encumbered, a \$8,075.59 lower paid amount. Therefore, the cluster does not show a payment excess. This materially weakens any claim of realised overpayment in this population.

7. Evidence gate

Test	Status	Interpretation
Supplier / contract / commodity / department / date identifier	PASS	Population is tightly defined.
Repeated purchasing	PASS	42 POs on one date.
PO-value threshold screen	SIGNAL	All POs below \$10k; aggregate \$107.3k.
Price variance	SIGNAL	7/42 line-1 observations above prior Q95.
Payment excess	NOT FOUND	Paid below encumbered.
Commercial leakage	NOT ESTABLISHED	Documentary validation required.

8. What would be required to convert the signal into a finding

CIIP would next require: the contract schedule/rate card and amendments; requisitions and approvals; PO creation timestamps; the business rationale for each same-day PO; service-delivery/acceptance evidence; invoice-level detail; and the formal delegation/approval trail. Only after those documents are reconciled should the analysis classify a discrepancy as evidence-supported.

9. CIIP conclusion

The public data demonstrates the value of transaction intelligence: a large same-day cluster becomes visible only after cross-field identity resolution and multi-signal screening. The correct commercial conclusion is deliberately narrow: **investigation-priority signal identified; commercial leakage not established.**

Methodological note: public procurement datasets can contain errors, missing fields and system-specific identifiers. This study therefore uses evidence gates and does not convert anomalies into savings, recovery or supplier-overcharging claims without documentary support.